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Plywood Becomes Hot Item in Housing Recovery

By Cameron McWhirter

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Here's the best sign yet that the U.S. housing market is recovering: plywood.

Growing demand and tight supplies have pushed up plywood prices by 45% in the past year, and U.S. producers are scrambling to get back up to speed after slashing output of the basic construction material during the housing bust.



Prices for plywood have jumped 45% in the past year.

BLOOMBERG NEWS

Georgia-Pacific, the largest U.S. producer of plywood, will announce Friday it plans to invest about \$400 million over the next three years to boost softwood plywood and lumber capacity by 20%. The company is hustling to meet growing needs of large customers such as Lowe's [LOW 1.22% ▲](#) Cos. and Home Depot Inc., [HD 0.35% ▲](#) said Mark Luetters, executive vice president of the Atlanta-based company's building products division.

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Georgia-Pacific, which has been owned by Koch Industries Inc. since 2005, reduced its overall wood products capacity by at least 30% in the past five years, Mr. Luetters said, but now "demand has gotten ahead of production and production is trying to catch up."

He said plants have done what they can to add shifts and make smaller fixes to improve capacity, but now significant capital investment is needed.

"The industry is kind of at the end of its rope," he said.

Georgia-Pacific, which also makes paper products and packaging materials, plans to revamp and expand plywood plants across the Southeast U.S. Mr. Luetters said he expects short-term construction jobs to be added but doesn't anticipate significant permanent jobs as a result of plant improvements.

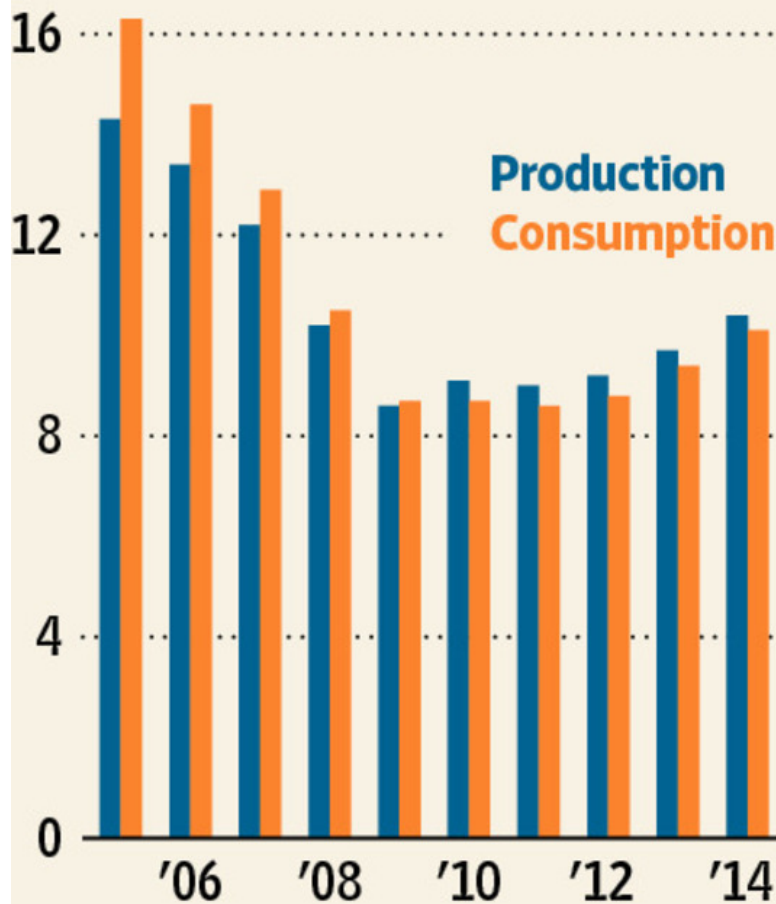
Boise Cascade Co. [BCC 4.02% ▲](#), the second-largest producer of softwood plywood in the U.S., has added workers and shifts at its plants to meet strong demand for plywood, lumber and other wood products from an awakening building industry, although the company said it isn't planning a major expansion for now.

Boise Cascade went public on Feb. 6, and the stock is up almost 60% from the IPO price of \$21, closing Thursday at \$33.54 on the New York Stock Exchange.

U.S. softwood plywood consumption was cut almost in half during the recession, falling from 16.3 billion square feet in 2005 to 8.7 billion in 2009. It hit a low of 8.6 billion in 2011. As demand evaporated, plants were closed and workers were laid off throughout the industry.

Rebuilding Output

U.S. production and consumption of softwood plywood, in billions of square feet.



Note: 2013 and '14 are forecasts

Source: APA The Engineered Wood Association

The Wall Street Journal

The U.S. construction business is finally looking up, though. Housing starts this February were up 27.2% from a year earlier, to at a seasonally adjusted rate of 917,000, according to government statistics.

Last year, plywood consumption crept back up to 8.8 billion, according to data collected by the APA-the Engineered Wood Association, a nonprofit trade association that tracks plywood production. The group forecasts consumption rising to 11.1 billion by 2016, said Craig Adair, the group's market research director. Only a small percentage of softwood plywood is imported, much of it from Chile.

With demand rising, the composite price for structural panels, which includes plywood and other wood products, jumped to \$511 per thousand square feet on March 15 this year, up 45% from \$351 in mid-March a year ago, according to Random Lengths, a Eugene, Ore., wood-products market reporting service.

Outside of a Lowe's home-improvement store in metro Atlanta on Thursday morning, Jarrett Barnes, an independent contractor, loaded his Toyota Tundra truck with lumber and building materials for his day's job. The 25-year-old Mr. Barnes, who has been a contractor for eight years, said the last five years have been tough, but that business—mostly for remodeling jobs—has picked up in the last year.



A worker frames a new home in Chula Vista, Calif. in November.

ASSOCIATED PRESS

He said he has about 50% more work than he did in March 2012. But as work has increased, prices for materials have shot up, especially in the last few months. He said he has no choice but to pass the costs onto his customers, but he hopes costs go down soon.

"They give you a funny look but what can you do?" he said of his customers. "You tell them they can go check the prices themselves."

Lowe's didn't immediately respond to requests for comment.

Atlanta-based Home Depot doesn't anticipate any product shortages and is working "with our vendors to plan well in advance for consumer demand," said spokeswoman Jean Niemi.

Georgia-Pacific said its added capacity likely will be in place by late 2014 or early 2015. The company will revamp and expand plants in North Carolina, South Carolina, Georgia, Alabama, Mississippi, Arkansas and Texas, though Mr. Luetters said it is still deciding which ones.

Peter Butzelaar, forest products marketing consultant for International Wood Markets Group in Vancouver, said that during the last five years, "a lot of capacity has been either removed or idled with the housing market collapse," and now companies have no choice but to expand to meet demand.

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